

CONFIDENTIAL INFORMATION MEMORANDUM

Yahara Comfort Systems, LLC

Residential and light-commercial HVAC service, replacement, and maintenance · South-central Wisconsin · Established 1998

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SECTION 1

Executive summary

Yahara Comfort Systems, LLC is a residential and light-commercial HVAC services company serving Dane County and adjoining portions of Columbia, Sauk, and Jefferson Counties in south-central Wisconsin from a leased 9,600-square-foot facility in DeForest, north of Madison. Founded in 1998 and operated by its founder since, the Company provides heating and cooling service and repair, system replacement and installation, contracted maintenance, and light-commercial HVAC work for property managers and small facilities.

Revenue grew from \$3.41M in FY2023 to \$4.12M in FY2025, a 20.7% two-year increase, while seller's discretionary earnings grew 35.3% over the same period, from \$556K to \$752K. Growth has been organic, driven by replacement volume, steady expansion of the maintenance-agreement base (1,410 active agreements at fiscal year-end 2025, up 34% in two years), and a light-commercial division that has grown to 10% of revenue. Approximately 35% of FY2025 revenue is recurring or semi-recurring, arriving through maintenance agreements and repeat service customers.

The Company fields a staff of 18, including six service technicians and five installers organized in two crews, dispatched through ServiceTitan field-service software adopted in 2022. A service manager and an installation manager run day-to-day field operations; the owner's role is concentrated in general management, replacement sales, and supplier relationships. The owner, 61, is offering the business for sale in anticipation of retirement after 28 years and proposes a 90-day included transition with extended consulting available by agreement.

The opportunity, in brief: an established service base of roughly 8,900 active customers and a 4.8-star public reputation across more than 1,100 Google reviews, positioned in a metropolitan county growing faster than the state; a contracted-maintenance engine that smooths Wisconsin's pronounced heating seasonality; and demonstrated capacity growth with identifiable, unexercised levers — agreement penetration, indoor-air-quality attach services, and the regional heat-pump transition — detailed in Section 10.

The Company at a glance

\$4.12M FY2025 REVENUE	\$752K FY2025 SDE ¹	+20.7% 2-YR REVENUE GROWTH	1,410 MAINTENANCE AGREEMENTS
18 EMPLOYEES INCL. OWNER	8,900 ACTIVE CUSTOMERS ²	14 FLEET VEHICLES	4.8★ GOOGLE · 1,100+ REVIEWS

Summary of operations, FY2023–FY2025 (\$000s)

	FY2023	FY2024	FY2025
Revenue	3,412	3,743	4,118
Gross profit	1,394	1,554	1,731
Gross margin	40.9%	41.5%	42.0%
Seller's discretionary earnings ¹	556	652	752
SDE margin	16.3%	17.4%	18.3%

Source: Company financial statements as recast by Meridian Business Advisors. Full presentation and add-back schedule in Section 9.

Transaction frame

The owner is offering substantially all operating assets of the Company, including the customer base and maintenance-agreement contracts, fleet, equipment and inventory, brand, phone numbers, and software configurations, free of debt. The asking price is **\$2,950,000**. Real estate is not included; the DeForest facility is available by lease assignment from its third-party landlord. Section 11 details what conveys and the proposed transition.

¹ SDE (seller's discretionary earnings) as recast by the Broker: operating income plus owner compensation and payroll taxes, owner insurance benefits, identified discretionary and one-time expenses, and non-cash depreciation. Definition and full schedule: Section 9.3. Buyers should verify all figures in due diligence.

² Customers invoiced at least once in the trailing 36 months, per ServiceTitan records.

SECTION 2

Investment highlights

- 01 A 28-year operating history with momentum, not maturity.** Revenue up 20.7% and SDE up 35.3% over two years, on organic growth in an established service area — the trajectory of a business still converting demand, not defending it.
- 02 1,410 contracted maintenance agreements.** A growing recurring-revenue base (+34% since FY2023) that smooths Wisconsin's heating-dominant seasonality, feeds replacement sales, and gives a buyer a warm, contractually organized customer relationship from day one.
- 03 Management layer already in place.** A service manager (11-year tenure) and installation manager (8-year tenure) run daily field operations; the owner's week centers on general management and replacement sales — a defined, hireable role rather than diffuse owner dependence.
- 04 Diversified demand with negligible concentration.** Roughly 8,900 active customers; the largest account represents 5.8% of revenue and the top five 14.2%, with 85% of revenue residential — no single relationship carries the P&L.
- 05 Modern operating stack.** ServiceTitan dispatch, flat-rate pricing, digital maintenance-agreement management, and QuickBooks Online — systems a new owner can read, audit, and scale rather than reconstruct.
- 06 Positioned for the electrification cycle.** Dual-fuel and heat-pump installations began at scale in 2024 in a market where regulatory and incentive tailwinds are reshaping replacement demand (Section 5), with the technician credentials already in house.

Each highlight is developed, with sources and figures, in Sections 3–10; this page introduces no claim that does not appear there.

SECTION 3

Business overview & history

The Company was founded in 1998 as a two-person residential furnace-repair shop on Madison's north side. Its founder — a licensed HVAC contractor who remains the sole owner — moved the business to its current DeForest facility in 2004 and has grown it since by a consistent formula: fast, well-reviewed service work that earns replacement installations, and maintenance agreements that keep both coming back. The Company today is a full-service HVAC contractor: it diagnoses and repairs heating and cooling systems, replaces and installs furnaces, air conditioners, heat pumps, and ductless systems, services roughly 1,400 contracted maintenance customers on scheduled visits, and runs a light-commercial division serving property managers, small offices, and retail facilities.

The Company operates as a Wisconsin limited liability company, wholly owned by its founder. It holds the state contractor credentials and EPA certifications described in Section 7.4, maintains no debt other than normal trade payables, and has no affiliated entities. All revenue is earned within its service area; there are no franchise obligations, exclusive supplier commitments, or long-term liabilities that would transfer with the business.

What the buyer acquires, operationally

An acquirer steps into a functioning system rather than a founder's calendar: two field managers run dispatch and installation scheduling through ServiceTitan; six service technicians and two install crews execute a workday averaging 28–34 service calls and 1–2 installations; office staff handle intake, agreement renewals, and collections. The owner's remaining functions — general management, most replacement-sales visits, and supplier relationships — are specific and describable, and Section 8.3 details them honestly, because pricing that role correctly is in every party's interest.

Service area

The primary service area is Dane County — anchored by Madison, Wisconsin's second-largest metro and its fastest-growing county — plus contiguous portions of Columbia, Sauk, and Jefferson Counties reached within roughly 45 minutes of the DeForest shop. The Company does not pursue work beyond this radius; density, not reach, drives its route economics.

Company timeline

YEAR	DEVELOPMENT
1998	Founded in Madison as a two-person furnace service and repair shop.
2004	Relocated to the current 9,600 sq ft shop and office in DeForest; added third service vehicle.
2009	Launched the maintenance-agreement program, initially as a furnace tune-up club.
2014	Opened the light-commercial division after recurring requests from property-management service customers.
2019	Added the second installation crew; fleet expanded to twelve vehicles.
2022	Adopted ServiceTitan field-service management; converted paper agreements to digital renewal.
2024	Began dual-fuel and cold-climate heat-pump installations at scale; two technicians completed manufacturer certification.
2025	Maintenance agreements passed 1,400; light-commercial reached 10% of revenue.

Ownership & reason for sale

The founder, 61, is the Company's sole owner and has no partners or minority holders. He is selling to retire after 28 years in the business, and has structured his exit deliberately: field management has been delegated to the two managers over the past several years, and the proposed transition (Section 11) reflects his stated intention to hand over supplier and key-account relationships personally rather than abruptly. He has committed to a non-compete within the service area for a period to be negotiated.

Reason-for-sale statements are the owner's, provided through the Broker's seller questionnaire.

SECTION 4

Services & revenue mix

4.1 Service & repair — \$1,398K FY2025 (33.9%)

Diagnostic and repair work on residential heating and cooling systems, priced flat-rate from the Company's ServiceTitan price book. Demand peaks with Wisconsin's first furnace starts in October–November and the first cooling calls of June; agreement customers receive priority scheduling and a preferred labor rate. Management reports that approximately 68% of service revenue comes from repeat customers or agreement holders, making this line the relationship engine that feeds replacement sales.

4.2 Replacement & installation — \$1,812K FY2025 (44.0%)

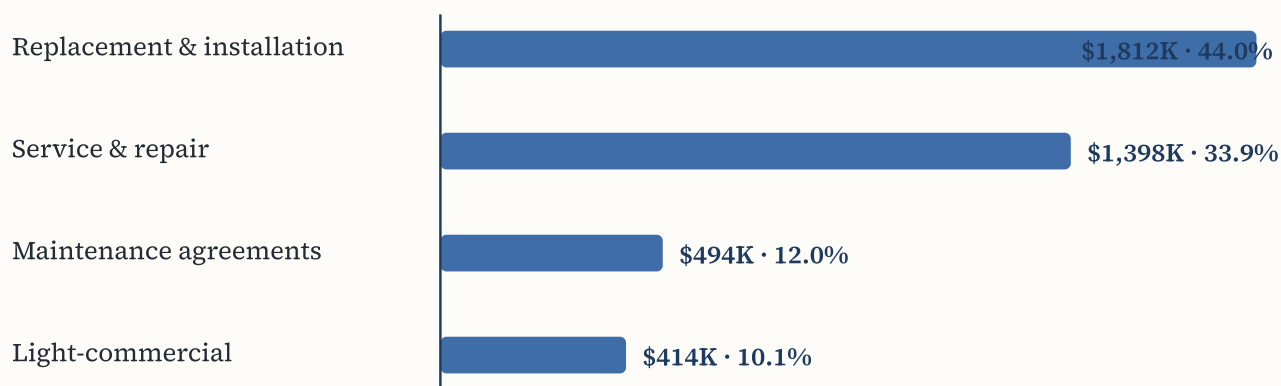
Residential system replacements — furnaces, air conditioners, dual-fuel pairings, cold-climate heat pumps, and ductless systems — sold predominantly to existing service customers at an average FY2025 ticket of \$9,150. The owner performs most in-home sales visits, supported by a ServiceTitan proposal workflow; two install crews complete 1–2 jobs per working day in season. The Company installs major national equipment brands through two regional distributors and holds no exclusive line commitments.

4.3 Maintenance agreements — \$494K FY2025 (12.0%)

1,410 active agreements at \$219–\$389 per year depending on system count, billed annually or monthly, covering scheduled spring and fall visits, priority dispatch, and repair discounts. Renewal runs digitally through ServiceTitan; management reports renewal rates near 88%. Beyond their direct revenue, agreements generate inspection-driven repair and replacement leads and pull service demand into shoulder seasons — their operational value exceeds their line-item revenue.

4.4 Light-commercial — \$414K FY2025 (10.1%)

Rooftop-unit service, replacement, and maintenance for property managers, small offices, retail, and church facilities within the existing service area — the fastest-growing line, up 41% since FY2023 from a small base. Work is won through property-management relationships (including the Company's largest account, Section 6.2) and referrals; the Company deliberately avoids plan-and-spec construction bidding.

Replacement leads a diversified four-line mix — FY2025 revenue by service line

Source: Company financial statements as recast by Meridian Business Advisors. Percentages sum to 100.

Revenue by service line, FY2023–FY2025 (\$000s)

	FY2023	FY2024	FY2025	2-YR Δ
Service & repair	1,204	1,296	1,398	+16.1%
Replacement & installation	1,542	1,671	1,812	+17.5%
Maintenance agreements	372	431	494	+32.8%
Light-commercial	294	345	414	+40.8%
Total revenue	3,412	3,743	4,118	+20.7%

Pricing model

Service work is flat-rate from a maintained price book; installations are fixed-bid from a proposal template with standard margin targets; agreements are fixed annual subscriptions; light-commercial work is a mix of contracted maintenance and time-and-materials service at posted rates. Price-book and margin discipline are enforced in ServiceTitan, and the two recurring lines — agreements and commercial maintenance contracts — renew on standardized terms.

The mix has shifted deliberately toward recurring lines: agreements and light-commercial together grew from 19.5% of revenue in FY2023 to 22.1% in FY2025 while every line grew in absolute terms.

SECTION 5

Market & industry

5.1 A large, fragmented, needs-based industry

US heating and air-conditioning contracting generated an estimated **\$158.4 billion** in 2025 revenue across **118,433 businesses**¹ — an average of roughly \$1.3 million per firm. The narrower North American HVAC *services* market (maintenance, repair, and replacement, the Company's core) was estimated at **\$39.4 billion in 2024** and projected to reach \$50.4 billion by 2030, a 4.3% compound annual growth rate; repair and replacement is its largest segment (46.2%), and residential its largest end-use (44.8%).² Census data for the combined plumbing/HVAC contractor code show an average of only about 10.5 employees per establishment.³ No national player holds meaningful share of this market. The Company, at 18 employees and \$4.1M revenue, is therefore larger and more systematized than the typical competitor it meets — most of which are owner-operated shops of fewer than ten people.

5.2 Demand drivers touching this service area

An aging installed base. The median age of US owner-occupied homes reached 42 years in 2024, with 47% built before 1980⁴ — and Wisconsin's housing stock skews older still, with roughly 59% of homes built before 1980.⁵ Older homes hold older systems: replacement demand in the Company's service area is a function of installed-base age, not of consumer sentiment, and the Company's 8,900-customer database is effectively a map of that aging equipment.

A heating-dominant climate. Madison averages 7,138 heating degree days per year against only 627 cooling degree days⁶ — heating demand roughly eleven times cooling demand. In this climate a failed furnace in January is not a deferrable purchase, which is why the Company's service line holds firm through economic cycles and why its winter emergency capacity, prioritized for agreement holders, converts reliably into replacement work.

The electrification cycle — tailwind with an honest asterisk. Heat pumps have outsold gas furnaces nationally every year since 2021, by about 12% in 2025 (≈3.6M heat pumps vs ≈3.2M gas furnaces shipped).⁷ The federal 25C tax credit that subsidized this shift (30%, up to \$2,000 per heat pump) **expired December 31, 2025**, which pulled some replacement demand forward into 2025 — a headwind buyers should weigh for 2026 replacement volumes.⁸ What remains active locally: Wisconsin's Focus on Energy program is funding 2026 residential heat-pump rebates of up to roughly \$1,000 plus instant equipment discounts,⁹ and income-qualified federal HEAR rebates continue where state funds remain. The Company began dual-fuel and cold-climate heat-pump installations at scale in 2024 — dual-fuel configurations being the natural fit for a 7,000-heating-degree-day climate — and management reports heat pumps featured in roughly one in five FY2025 replacement proposals.

The refrigerant transition supports both repair and replacement economics. As of January 2025, new residential systems can no longer be manufactured with R-410A refrigerant; successor A2L equipment has run roughly 10–15% more expensive.¹⁰ An EPA rule amended in May 2026 allows remaining pre-2025 R-410A inventory to be installed until depleted,¹¹ while servicing existing R-410A systems remains legal indefinitely — with service-refrigerant prices expected to rise as supply tightens. For an operator like the Company, the transition raises average replacement tickets, increases the value of diagnostic honesty on repair-versus-replace decisions, and rewards shops whose technicians are already A2L-trained, as the Company's are.

Skilled labor is the industry's binding constraint — and a seller's asset. The Bureau of Labor Statistics projects HVAC technician employment to grow 8% from 2024 to 2034, much faster than the average occupation, with about 40,100 openings per year;¹² industry estimates put the current technician shortfall near 110,000.¹³ In a market where the scarce input is a trained, licensed bench, the Company's eleven field employees — with median field tenure of six years and two in-house state-licensed qualifiers — are as much a part of what conveys as the customer list.

5.3 The local market

Dane County is Wisconsin's fastest-growing county: approximately 590,000 residents in 2025, projected to reach 887,000 by 2050 — growth requiring an estimated 160,000 additional housing units.¹⁴ The City of Madison alone added 2,328 net new homes in 2025, above its ten-year average, with 5,320 more under construction at year-end.¹⁵ Every unit added is a future service and replacement customer; every unit aged is a nearer-term one. Wisconsin also maintains a genuine licensing barrier to entry: HVAC contractor registration plus an individual qualifier credential requiring four years of documented experience, and a separate dwelling-contractor credential for one- and two-family work¹⁶ — a moat around incumbents with licensed staff.

5.4 Buyer demand for businesses like the Company

Consolidation capital has moved decisively into residential HVAC services: private-equity add-on acquisitions rose 88% year-over-year through mid-2025, when PE-backed buyers took more than half of sector transactions for the first time,¹⁷ and one M&A advisory describes residential HVAC as "midway through its consolidation cycle."¹⁸ This Memorandum offers no opinion of value; the observation is narrower — well-run local operators with recurring service revenue are the specific asset this capital seeks, and the reader is one of many parties for whom that is true.

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10. Trade sources on the AIM Act A2L transition and equipment pricing (ACiQ dealer guide, 2025). aciq.com/aciq-dealer-program/2025-epa-refrigerant-phase-out/
11. NAHB, "EPA Amends HVAC Refrigerant Rule," May 26, 2026. nahb.org/blog/2026/05/epa-hvac-refrigerants-r-410a-final-rule
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14. Dane County Regional Development Guide population projections, fact sheet, Aug 2025. rhs.danecounty.gov
15. City of Madison Housing Tracker, year-in-review, Jan 7, 2026. cityofmadison.com/news/2026-01-07/2025-housing-tracker-year-in-review
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SECTION 6

Customers & sales

6.1 Customer base

The Company's ServiceTitan database holds approximately 8,900 active customers — parties invoiced at least once in the trailing 36 months — of which 1,410 hold maintenance agreements. Revenue is approximately 85% residential and 15% commercial. The residential customer is typically an owner-occupant of a single-family home in Dane County's suburbs and exurbs; the commercial base is property managers, small offices, retail, and congregations, served under maintenance contracts or posted-rate service.

6.2 Concentration

Customer concentration is negligible by design. The largest account — a regional property-management firm under continuous contract for nine years — represented 5.8% of FY2025 revenue; the top five accounts together represented 14.2%. No other account exceeded 2% of revenue. The loss of any single relationship would be absorbed within a normal quarter's demand variation.

6.3 How business arrives

Management attributes new-customer acquisition, in order of volume, to: word-of-mouth referral and the Company's 4.8-star Google profile (1,100+ reviews); paid search and local-services ads (FY2025 marketing spend of \$103K, 2.5% of revenue); the agreement base's own referral behavior; and property-manager relationships in the commercial line. There is no outside sales force. The replacement pipeline is fed principally by service technicians' inspection findings and agreement-visit condition reports — a structural advantage of the maintenance base that a buyer inherits intact.

The Company holds no long-term revenue contracts other than maintenance agreements and commercial maintenance plans; backlog at any date consists of sold-but-uninstalled replacement jobs, typically two to three weeks of installation capacity in season. [BROKER: confirm backlog at close]

6.4 Reputation & brand

The Company's public reputation is its principal marketing asset: a 4.8-star Google Business rating across more than 1,100 reviews accumulated since 2012, a Better Business Bureau A+ accreditation, and a referral pattern management describes as self-sustaining in its core zip codes. The brand, phone numbers, website, and review profiles convey with the sale. Management reports the review profile's velocity — roughly 20 new reviews per month, solicited automatically through ServiceTitan post-job surveys — matters more to lead flow than any paid channel.

6.5 Seasonality of demand

Demand follows Wisconsin's climate: October–March is dominated by heating service and replacement, with the year's sharpest call volume in the first sustained cold of November and any January cold snap; June–August brings the cooling peak; April–May and September are shoulder months into which agreement tune-up visits are deliberately scheduled. Management estimates roughly 57% of revenue is earned October through March. The agreement base is the Company's principal counter-seasonal tool: two visits per agreement per year, both placed in shoulder months, keep technicians productive and surface repair and replacement work ahead of each peak.

Customer counts, mix, renewal, and channel attributions per ServiceTitan reporting and management estimates supplied through the seller questionnaire; concentration percentages computed from the recast revenue ledger. In a client engagement, any figure the Company's systems cannot produce directly is flagged to the broker rather than estimated silently.

SECTION 7

Operations, facilities & systems

7.1 How a day runs

Service demand arrives by phone and web form to two customer-service representatives, who book against technician skill and zone in ServiceTitan; the service manager builds and adjusts the day's routes. Technicians run flat-rate diagnostics from company iPads, present options from the price book, collect payment on-site, and flag replacement candidates to the sales pipeline. Installation jobs sold by the owner are engineered by the install manager (load calculation, equipment ordering through two regional distributors, permit filing) and executed by two-person crews, typically within two to three weeks of sale in season. Agreement visits are batch-scheduled into shoulder months by the CSRs from ServiceTitan's membership module. Invoicing, payroll, and financial reporting run through QuickBooks Online, reconciled by a part-time bookkeeper.

7.2 Facility

The Company leases a 9,600-square-foot facility in DeForest — office, warehouse with racked equipment and parts inventory, sheet-metal area, and fenced yard — from an unrelated third-party landlord under a lease running through 2028 with a renewal option; current rent is approximately \$84K per year. The location sits eight minutes from the I-39/90/94 interchange, placing the whole service area within a 45-minute radius. The landlord has indicated willingness to assign the lease to a qualified buyer. [BROKER: confirm assignment terms]

7.3 Fleet & equipment

The fleet comprises 14 vehicles: eight upfitted service vans, four installation trucks, one box truck, and the owner's pickup — owned outright, maintained on schedule, with an average age of approximately five years. Shop equipment includes sheet-metal fabrication tools, recovery machines, and diagnostic instruments; parts and equipment inventory turns with the season and is included in the sale at closing levels. A full FF&E schedule appears in the Appendix.

7.4 Software, licenses & certifications

The operating stack is current and transferable: ServiceTitan (dispatch, price book, memberships, proposals, review solicitation — adopted 2022), QuickBooks Online, and standard payroll processing. Four seasons of clean operating data live in ServiceTitan — job counts, technician productivity, membership renewals, and marketing attribution a buyer can audit directly.

Wisconsin requires HVAC contractor registration with an individual qualifier credential, plus a dwelling-contractor credential for one- and two-family work; refrigerant handling requires EPA Section 608 certification. The Company holds current registrations, and — a deliberate succession asset — **both the owner and the service manager hold individual qualifier credentials**, so the Company's licensure does not expire with the owner's departure. All field technicians hold EPA 608; two completed cold-climate heat-pump manufacturer certification in 2024.

7.5 Suppliers

Equipment is sourced from two regional distributors under ordinary trade terms, with no exclusivity or minimum-volume commitments; the Company installs major national brands and can shift mix as price and availability dictate — flexibility that proved its worth during the 2025 refrigerant-transition supply disruptions. The owner manages both relationships personally and will introduce the buyer during transition (Section 11).

7.6 Insurance & compliance

The Company maintains general liability, commercial auto, workers' compensation, and umbrella coverage at levels customary for its size (FY2025 premium expense: \$87K). Management reports no open claims, no OSHA citations in the past five years, and one resolved FY2025 legal matter — a disputed installation warranty claim settled for \$13K, presented as a one-time item in the add-back schedule (Section 9.3). [BROKER: confirm loss runs in diligence]

SECTION 8

Organization & staffing

Organization — 18 employees including owner



Roles shown without names; employee census with tenure and compensation available in diligence.

8.1 The team

Eighteen employees including the owner: six service technicians (median tenure six years), five installers in two crews, a service manager of eleven years, an installation manager of eight, two customer-service representatives, a part-time bookkeeper, and a warehouse/apprentice position the Company uses as its technician-development pipeline. Field compensation is hourly plus performance incentives on flat-rate efficiency and agreement conversions; management reports voluntary field turnover of one technician in the past three years, against an industry defined by chronic shortage (Section 5.2).

8.2 What the owner actually does

Stated plainly, because a buyer will price this role: the owner works a full week concentrated in three functions. He performs most residential replacement-sales visits (roughly 8–10 per week in season), sets pricing and margin targets with the managers quarterly, and owns the two distributor relationships and the largest commercial account relationship. He no longer runs service calls, dispatches, or manages installations day to day — those functions moved to the two managers between 2019 and 2022 and operated through the owner's four-week absence in 2024, which management offers as the practical test of the delegation.

8.3 Key-person considerations

The transition risk is therefore specific: replacement-sales capacity and relationship handoff, not operational knowledge. Mitigants a buyer inherits: the service manager's licensure (Section 7.4) removes the regulatory key-person issue; the sales process is systematized in ServiceTitan's proposal workflow rather than in the owner's head; the 90-day included transition (Section 11) covers a full selling season's ride-along handoff; and the largest account's nine-year contract history has survived two property-manager personnel changes on the account side. A buyer who hires or is a replacement salesperson replaces the owner's largest time commitment directly.

8.4 Staff continuity

Management expects the staff to remain through a transition; both managers have expressed interest in continuing under new ownership, per the owner. Employee interviews are available in diligence at the appropriate stage under the Broker's process. No employees are unionized; there are no employment contracts other than standard confidentiality and vehicle-use agreements.

[BROKER: confirm manager retention conversations before LOI stage]

SECTION 9

Financial overview

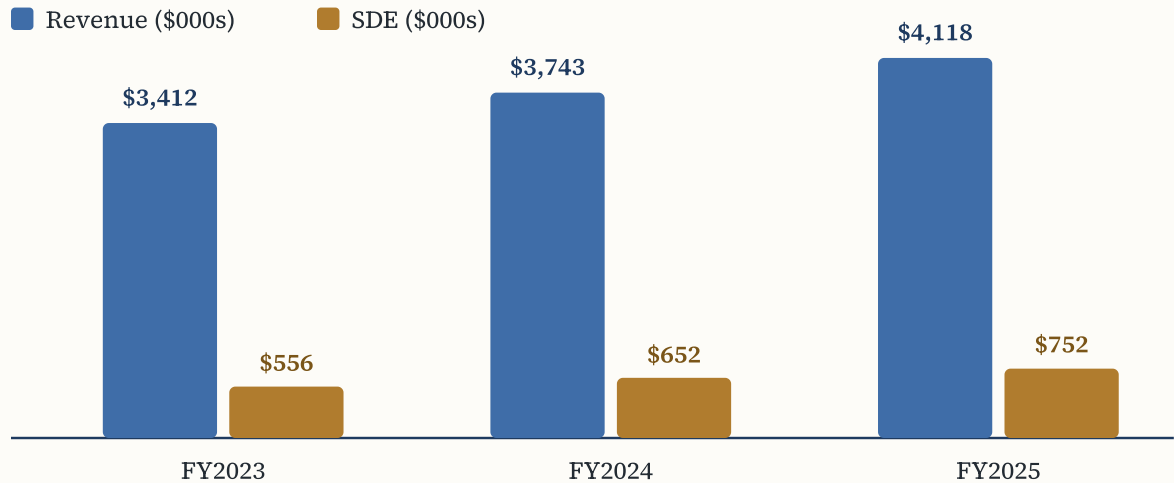
Figures as recast by Meridian Business Advisors from the Company's reviewed financial statements and filed tax returns, FY ending December 31. This section narrates the recast figures; it does not adjust them further or opine on value.

9.1 Summary income statement, FY2023–FY2025 (\$000s)

	FY2023	FY2024	FY2025
Revenue	3,412	3,743	4,118
Equipment & materials	1,118	1,204	1,297
Direct labor & burden	900	985	1,090
Gross profit	1,394	1,554	1,731
Gross margin	40.9%	41.5%	42.0%
Owner compensation	138	142	145
Management salaries	162	171	183
Office & admin wages	214	226	241
Rent	78	81	84
Vehicle & fuel	128	136	147
Insurance	72	79	87
Marketing & advertising	76	88	103
Software & communications	48	54	61
Utilities	18	19	20
Professional fees	24	26	39
Depreciation	96	92	88
Other operating	64	69	76
Operating income	276	371	457
Operating margin	8.1%	9.9%	11.1%
Seller's discretionary earnings	556	652	752
SDE margin	16.3%	17.4%	18.3%

Totals foot to the recast ledger; SDE equals operating income plus the add-back schedule in 9.3. Columns may differ by ±1 from source detail due to \$000 rounding.

Revenue grew 20.7% over two years; SDE grew 35.3%



Source: table 9.1. Bars share one \$000s axis from zero.

9.2 What moved, and why

Revenue grew 9.7% in FY2024 and 10.0% in FY2025. The growth is broad-based across all four lines (table, Section 4), led in percentage terms by maintenance agreements (+32.8% over two years) and light-commercial (+40.8%), and in dollar terms by replacement (+\$270K). Management attributes FY2025 replacement strength partly to customers accelerating purchases ahead of the federal 25C credit's December 2025 expiration — the pull-forward noted honestly in Section 5.2 — and partly to A2L-transition equipment pricing lifting average tickets.

Gross margin improved 1.1 points over two years, to 42.0% — within published industry ranges for a mixed service/replacement shop — as the revenue mix shifted toward higher-margin service and agreement work and flat-rate pricing discipline held through equipment cost increases. Operating expenses grew slower than revenue (13.9% versus 20.7% cumulatively), with marketing the only line deliberately grown faster; the resulting operating leverage carried operating margin from 8.1% to 11.1% and SDE from \$556K to \$752K.

9.3 Add-back schedule (Broker's recast, \$)

ITEM	FY2023	FY2024	FY2025	RATIONALE (AS RECAST)
Owner compensation	138,000	142,000	145,000	Replaced at buyer's discretion
Owner payroll taxes	11,600	11,900	12,200	Employer taxes on the above
Owner health & life insurance	17,400	18,100	18,900	Owner benefit
Personal vehicle use	8,800	9,200	9,600	Owner pickup, personal share per log
Discretionary travel & memberships	7,900	8,300	8,700	Non-operating, itemized
One-time legal settlement	0	0	13,000	FY25 warranty dispute, resolved (\$7.6)
Depreciation	96,000	92,000	88,000	Non-cash; see capex note below
Total add-backs	279,700	281,500	295,400	

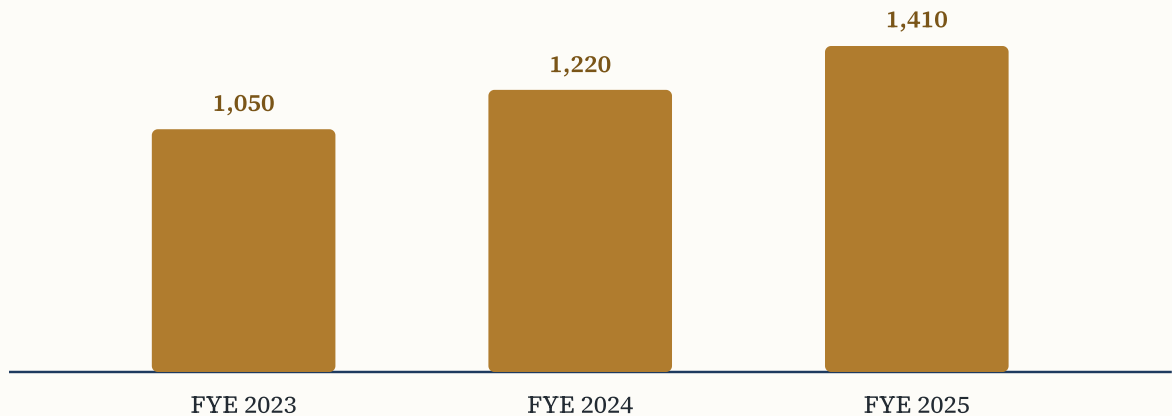
Schedule as prepared by Meridian Business Advisors; presented without modification. Every item is documented in the diligence file (compensation records, policy statements, expense detail, settlement papers).

Definition. Seller's discretionary earnings as presented equals operating income plus the schedule above — the Broker's standard recast reflecting a single full-time owner-operator. Prospective purchasers applying a different earnings convention (e.g., EBITDA with a market-rate manager replacing the owner) should make that adjustment themselves in diligence; this Memorandum presents one definition, consistently, and labels it.

Capital expenditure note. Depreciation is added back as non-cash per the Broker's recast convention. Buyers should note the fleet's five-year average age implies ongoing replacement capex — historically one to two vehicles per year — which is not deducted in the SDE presentation above.

Balance-sheet items. The sale is offered debt-free; trade payables and receivables cycle normally (receivables are predominantly point-of-sale residential collections plus 30-day commercial terms). Working-capital treatment, inventory count at close, and any vehicle titles in transition are matters for the purchase agreement. [BROKER: confirm working-capital convention]

The agreement base grew 34% in two years



Source: ServiceTitan membership module, agreements active at fiscal year end. Single series from zero.

9.4 Recurring revenue & seasonality in the numbers

Maintenance agreements produced \$494K of FY2025 revenue directly (12.0% of total) at a reported renewal rate near 88%. Adding the share of service revenue management attributes to repeat customers and agreement holders (approximately 68% of the service line), roughly **35% of FY2025 revenue is recurring or semi-recurring** — earned from parties with an existing, active relationship rather than from first-time demand. Management estimates 57% of revenue is earned October–March; the agreement base's shoulder-season tune-up visits are the principal reason technician utilization holds through April–May and September, and the visits themselves originate much of each peak season's repair and replacement pipeline.

Agreement counts and renewal rates per ServiceTitan reporting; repeat-customer attribution is a management estimate from CRM history. In a client engagement, DealDraft reproduces only metrics the broker's or client's systems can evidence, and labels management estimates as such — as done here.

SECTION 10

Growth opportunities

Each opportunity below is an action the current owner has identified but not pursued, with the reason stated. None is priced into the presentation of historical earnings; the buyer underwrites the upside.

10.1 Agreement penetration

The Company holds 1,410 agreements against roughly 8,900 active customers — a 16% penetration rate, while industry survey data place high-performing shops' membership attach rates at 30–50% of jobs.^a At the FY2025 average agreement value of approximately \$350, each additional point of penetration represents roughly \$31K of direct recurring revenue, before the repair and replacement flow agreement visits generate. The owner attributes the gap to deliberate pacing: tune-up capacity was constrained until the apprentice pipeline matured in 2023–24, and the Company has never run a systematic enrollment campaign against its own service history — the CRM data to do so sits in ServiceTitan today.

10.2 Indoor air quality & duct services attach

IAQ products (filtration, humidification, UV) and duct sealing/cleaning currently arrive only when customers ask — under 2% of revenue, unmeasured as a line. The installed base of aging homes (Section 5.2) is the natural market, the service visit is the natural sales moment, and the equipment is stocked by the Company's existing distributors. The owner, by his own account, never built the technician scripting or pricing menu to sell it systematically.

10.3 The electrification transition

Heat pumps featured in roughly one in five FY2025 replacement proposals; national shipment trends (Section 5.2) and Wisconsin's active 2026 rebate programs^b indicate the mix will grow. The Company's early position — certified technicians, dual-fuel install experience since 2024 — is ahead of typical main-street competitors. Marketing that position (the current website does not mention heat pumps) is an untaken step a buyer with marketing capability executes immediately.

10.4 Hours coverage

The Company dispatches Monday–Friday 7:00–17:00, with after-hours emergency service reserved for agreement holders. Weekend and evening availability — standard among the market's larger competitors — is an unserved slice of the Company's own call log: management reports the CSRs decline or defer roughly 15–20 calls per month outside dispatch hours in season. Extending coverage requires an on-call rotation the current bench could staff with one additional technician hire; the owner declined to add weekend obligations in his final operating years, a constraint that retires with him.

10.5 What is deliberately not claimed

This section makes no claims about geographic expansion, acquisition roll-ins, or commercial plan-and-spec bidding. Each is possible; none has factual support in the Company's operating history, and a document that projects them would be selling the buyer's own homework back at a markup. The four opportunities above share one property: the demand signal already exists in the Company's systems, and only the execution is missing.

- a. ServiceTitan field-service benchmarks, 2026 (industry survey data; membership attach rate of jobs, 30–50% for high performers). servicetitan.com/blog/field-service-metrics
- b. Focus on Energy 2026 residential HVAC rebates. focusonenergy.com/forms/2026-residential-hvac-rebate

SECTION 11

Transaction considerations & transition

11.1 The offering

The owner offers substantially all operating assets of the Company: the customer base and maintenance-agreement contracts, brand and trade names, phone numbers, website and review profiles, ServiceTitan and QuickBooks configurations and data, fleet of 14 vehicles, shop equipment, and inventory at closing levels — free of debt, in an asset sale. Excluded: cash, receivables as of closing (subject to the purchase agreement's convention), the owner's personal pickup if the buyer elects, and the owner's personal effects. The asking price is **\$2,950,000**. Real estate is not included; the facility lease (through 2028, with renewal option) is assignable per the landlord's indication — buyers financing through SBA channels should note lease term and renewal options are standard underwriting items. [BROKER: confirm receivables convention and pickup disposition]

11.2 Transition

The owner proposes: 90 days of full-time transition included in the price — spanning ride-along replacement sales, supplier and key-account introductions, and license-transition logistics — followed by consulting availability up to 12 months on terms to be negotiated. He will execute a non-compete within the service area for a negotiated period. Both field managers have expressed interest in remaining under new ownership (Section 8.4).

11.3 Process & next steps

Qualified parties should direct questions and expressions of interest to Meridian Business Advisors, who will coordinate management meetings, site visits after business hours, and the diligence data room (three years of tax returns and reviewed statements, the recast detail behind Section 9, employee census, lease, insurance loss runs, and ServiceTitan operating reports). The seller's staff is unaware of the sale process; visits and communications must route through the Broker without exception.

This Memorandum is descriptive, not contractual. Its statements are qualified in their entirety by the definitive purchase agreement the parties may execute and by the buyer's own diligence.

SECTION 12

Appendix

A.1 Fleet & major equipment summary

CATEGORY	COUNT	NOTES
Service vans (upfitted)	8	2019–2025 model years; racked, branded
Installation trucks	4	Crew configuration, liftgates
Box truck	1	Equipment staging, sheet metal
Owner pickup	1	Disposition per §11.1
Sheet-metal & shop equipment	—	Brake, plasma table, recovery machines, diagnostics

Itemized FF&E schedule with acquisition dates and book values available in the diligence file.

A.2 Licenses & credentials

CREDENTIAL	HOLDER / STATUS
WI HVAC contractor registration	Company, current
WI HVAC qualifier certification	Owner and service manager (two credentialed individuals)
WI dwelling contractor / qualifier	Company / owner, current
EPA Section 608	All field technicians
Cold-climate heat-pump manufacturer certification	Two technicians, 2024

A.3 Service area

Primary: Dane County (Madison, DeForest, Sun Prairie, Waunakee, Middleton, Verona, Stoughton). Secondary: contiguous portions of Columbia (Portage corridor), Sauk (Baraboo–Sauk City), and Jefferson Counties within approximately 45 minutes of the DeForest facility. Photo pages and the service-area map are supplied by the broker in client engagements; omitted from this fictional sample.

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